

course, with more and more investment capital being indexed, future mispricings may increasingly linger and the incremental returns achievable through fundamental analysis could start to rise.

In the parlance of Wall Street strategists, “value” underperformed “growth” for over a decade after the 2008–2009 financial crisis by nearly unprecedented margins. I set “value” and “growth” in quotation marks because these labels can be very misleading. Any stock, growing or not, can be under- or overvalued. Academics and Wall Streeters often use these labels as shorthand to identify the half of the market with the lowest multiples as “value” and the higher-multiple half as “growth,” but that categorization is arbitrary. At times, well over half of the stocks in the market can be undervalued, and at other times bargains can be quite scarce.

This means that one reason for the periodic poor performance of “value” stocks comes from misunderstanding over a mere label. Those who define value investing as the purchase of the statistically lowest-multiple stocks (as measured by price to earnings, price to cash flow, price to book value, etc.) are making a serious error. As discussed, the rapid and well-funded innovation we observe every day has accelerated the demise of many “old economy” businesses. The stock market is hardly unaware of this. The obvious losers in this “creative destruction” fall in price to a low multiple of yesterday’s results. But in a great many cases, this does not make them bargains. Many declining businesses are eroding faster than ever now. They are not value investments and should generally be avoided, except when the market has significantly overreacted and the situation can be assessed to be not as dire as commonly perceived.

The poor relative performance of “value” strategies in recent years has driven many investors to use other strategies, most prominently a “growth” approach. For many, there has been no price too high to pay for a rapidly growing and promising business. Thirteen years after the